Why the Next Six Months Favour Selective Buyers of Off-Plan Offices and Shops in Dubai

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I would use the next six months to buy selectively, because Dubai's commercial market has given buyers something they lacked a year ago: time to choose. Space is still tight, with JLL reporting office vacancy of 6.1% and retail vacancy of 4.7% in Q2 2026. Yet off-plan office sales have cooled since a record first half, so you can compare units properly before you commit.

This is not a case for buying anything with a payment plan. A much larger wave of offices arrives from 2028, and prices have risen faster than rents. My argument is narrower: secure the units that can still win tenants when that supply lands, and walk away from the rest.

Five arguments for buying in the next six months

1. Buyers have time again, and it may not last. Off-plan office sales reached AED 13.1 billion in H1 2026, then about AED 3.03 billion in Q3. That pause lets you test a unit instead of racing a launch. September already picked up, though, with 265 off-plan deals worth AED 1.32 billion against 188 deals worth AED 806 million in August. One month is not a trend, but I would not plan around the calm lasting.

2. Occupiers are still short of space. JLL recorded Q2 office vacancy of 6.1%, down from 7.7% a year earlier. Annual rents rose 31.5% for Grade B, 26.2% for Grade A and 13.6% for prime. Growth has since levelled off, with Savills putting the Q3 average at a stable AED 241 per sq ft. Near-term relief looks limited: Cavendish Maxwell expects supply to stay constrained through 2026.

3. New strata offices are mostly sold off-plan. Off-plan took 80% of the AED 20.16 billion of office sales from January to September. Savills expects strata to make up 86% of new office supply in 2028. If you want to own a modern unit rather than a whole building, this is where much of the choice now sits.

4. Tenant demand sits in sizes investors can buy. Savills counted about 20,200 office leases in Q3, and 66% were for units under 1,000 sq ft. On the sales side, 77% of office deals from January to September were below AED 5 million. You do not need a full floor to reach the deepest part of the tenant market.

5. Staged payments keep your capital working for longer. Ready purchases typically need more money upfront, while off-plan plans usually spread payments through construction. Individuals may also benefit from a clean tax position: the UAE tax authority's guide excludes qualifying real estate income from corporate tax where no licence is held or required. The trade-off is that you earn no rent until the building is finished and leased.

Offices or shops

Offices are a bet on business growth, while shops are a bet on footfall around one specific unit.

	Offices	Shops
Latest sales	AED 20.16bn, Jan–Sep 2026	AED 3.8bn, H1 2026, up 177%
Off-plan share of value	80%	Almost 70%
Vacancy, Q2 2026	6.1%, from 7.7%	4.7%, from 8.0%
Annual rent growth, Q2 2026	Grade A up 26.2%	Community centres up 9.3%, super-regional malls up 8.5%
Warning sign	Average rents flat in Q3	New leases down 26% in H1, rents down just under 1% in Q2

	Offices	Shops
Where the deals are	Business Bay, 49% of sales value	Off-plan: JVC, Majan, Dubai South, Motor City, Sobha Central
The question to answer	Will tenants choose this building over 2028 supply?	Will enough residents live nearby at handover?

Sources: Arabian Business on office sales, JLL via Arabian Business, Savills via Arabian Business, Cavendish Maxwell via Khaleej Times.

Retail is the more location-dependent choice. Cavendish Maxwell reports about 98% occupancy at flagship malls and community centres, but it also describes a more selective leasing market. I would not treat that figure as evidence for a new shop in a half-occupied community.

Where the case can fail

The biggest risk is paying a price that future rents cannot support. DXBinteract shows the median commercial price rising 178% from 2020 to 2025, to AED 1,821 per sq ft, while median rent rose 25%, to AED 100. That category is broad and includes more than offices and shops, but the gap is real. The same series fell 39% from 2014 to 2020, so prices can also drop for years.

This is the first calculation I run. The table shows the rent each entry price needs for a 7% gross yield, before service charges, vacancy and fees.

Off-plan average, H1 2026	Price (AED/sq ft)	Rent needed for 7% gross (AED/sq ft a year)
Majan offices	1,778	124
JVC shops	2,772	194
All offices	3,874	271
All shops	4,054	284
Business Bay offices	5,120	358

Prices: Engel & Völkers. The 7% is an illustration, not a forecast.

Citywide office rents today average AED 189 to AED 241 per sq ft, depending on the consultancy. New space can achieve more, but that needs evidence from the same district. Off-plan offices also averaged about 90% more per sq ft than ready offices, partly because the stock differs.

Three other risks belong in the decision:

- **Supply at handover.** Cavendish Maxwell shows 379,000 sq m of offices planned for 2027 and 718,000 sq m for 2028, and Savills warns that secondary offices could face longer leasing periods.
- **Regional uncertainty.** Cavendish Maxwell says the market entered H2 in "a more uncertain environment", and buyers and occupiers may stay more measured.
- **Concentration and costs.** Five projects made up 71.7% of H1 off-plan office value, so strong totals do not prove every project is selling well. VAT at 5% generally applies to commercial property, and recovery depends on your position.

The five tests I run on every unit

1. **Rent:** What rent do comparable new units achieve today, and what yield does that give at this price?
2. **Handover:** How much competing space completes within two years of this date? All else equal, I favour handovers ahead of the 2028 wave, or a building that clearly stands out from it.
3. **Price:** What have comparable units sold for in this building and district, on recorded transactions?
4. **Developer:** Is the project registered with escrow in place, and what is the developer's delivery record?
5. **Exit:** Can you assign before handover, on what conditions, and who would buy from you?

A good deal should still work with conservative rents and a later handover. If it only works when prices keep rising, it is speculation, and I will tell you so.

Talk it through, free of charge

I am Georges Akkaoui, Commercial Expert and Investment Advisor at fäm Properties, and my focus is helping investors and business owners make sound commercial property decisions. Our firm's commercial work includes facilitating a $33.8 million sale of 40,000 sq

ft of offices at Vision Tower in Business Bay.

Bring me the unit you are considering, or just your budget and goal. I will run these five tests with you and tell you plainly if I would pass.

Book a free, no-obligation consultation: call or WhatsApp +971 50 425 2209.

This article is general information, not financial, legal or tax advice. Property values and rents can fall, and returns are not guaranteed.

Sources

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